

Sequoia Fund

Buffett first met Bill Ruane in 1951, when both were attending Ben Graham's security analysis class at Columbia. The two classmates stayed in contact, and Buffett watched Ruane's investment performance over the years with admiration. When Buffett closed his investment partnership in 1969, he asked Ruane to handle the funds of some of the partners. That was the beginning of the Sequoia Fund.

Both men knew it was a difficult time to set up a mutual fund, but Ruane plunged ahead. The stock market was splitting into a two-tier market. Most of the hot money was gravitating to the new Nifty Fifty (high-flying growth companies), leaving value stocks far behind. Although, as Buffett pointed out, comparative performance for value investors in the early 1970s was difficult, "I am happy to say that my partners, to an amazing degree, not only stayed with him but added money, with happy results."³³

The Sequoia Fund was a true pioneer, the first mutual fund run on the principles of focus investing. The public record of Sequoia's holdings demonstrates clearly that Bill Ruane and Rick Cuniff, his partner at Ruane, Cuniff & Company, managed a tightly focused, low-turnover portfolio. On average, well over 90 percent of the fund was invested in a group of six to 10 companies. Even so, the economic diversity of the portfolio was, and continues to be, broad. Ruane has often pointed out that even though Sequoia is a focused portfolio, it has always owned a variety of different businesses.

Early on, Bill Ruane was unique among money managers. Generally speaking, most investment managers put together a portfolio of stocks that is not too far different from the index they are measured against. The portfolio manager understands the industry sector weightings of the index and then goes about populating the portfolio with stocks that fit in each sector. At Ruane, Cuniff & Company, the partners begin with the idea of selecting the best possible stocks; then they let the portfolio form around those selections.

Selecting the best possible stocks, of course, requires a high level of research. The firm has built a reputation as one of the brightest shops in money management. The principals eschew Wall Street's broker-fed